

PAGERO



Country Compliance Report: **ISRAEL**

Information class: Restricted



Country Compliance Report: ISRAEL

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.



1. Terminology

This section outlines general and country-specific terminology for Israel which will be used throughout the whole document.

Term	Explanation
B2B	Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer
B2G	Business-to-Government refers to the business relationship a company selling products, services or information to governments or government agencies
B2C	Business-to-Consumer normally refers to the process of businesses selling products and services directly to consumers, with no middleman i.e. supplier to consumer.
Post Audit	The post-audit model allows trading partners to exchange e-documents as well as other transactional fiscal documents (including but not limited to invoices, further called "e-documents") directly with each other, without any real-time or immediate controls performed by the tax office. Even though eDocument is allowed, there are no prescriptions as to in what format, infrastructure or how they should be issued or distributed. The tax audits are performed afterward.
Validation of eSignature	means the process of verifying and confirming that an electronic signature or a seal is valid.
Computerized invoice	Refers to a structured electronic invoice which is a document created, sent, received, viewed, and saved by computerized means; and is signed with a "certified electronic signature" or a "secure electronic signature"



2. General overview

This section provides an initial introduction into the local eInvoicing environment within Israel including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	Ministry of Finance Israeli Tax Authority (ITA)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	Tax law Bookkeeping Regulations of 1973 Electronic Signature Law of 2001 VAT law 1975



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed with fulfilling certain provisions
Varying invoicing regimes¹	• No
e-Invoicing model	• Post audit
e-Invoice definition²	• Is a document created, sent, received, viewed and saved by computerized means; and is signed with a "certified electronic signature" or a "secure electronic signature"
Scope of taxpayers the e-document mandate applies to	• No explicit requirements
Mandatory AoR (document response) process	• No explicit requirements
Implementation / roll-out plan	• No

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



4. Before switching to e-invoices

4.1. IT³ registration

The following thresholds apply to the requirement to be registered for a IT number.

According to the tax authority [guidelines](#), there is no specific threshold to register for VAT, thus, if you are a person (individual), a partnership (two or more people), or a company, who are about to sell an asset, goods or real estate, or provide a service in the course of your business - you must register as a trader at the regional VAT office closest to the place of business or business activity. The registration must be made no later than the day the business activity began.

However, there is an exemption of registration for economic operators with an annual turnover amount lower than the "determining amount" in the relevant legislation, which is updated once a year (as of January 2020 - the fixed amount is NIS 99,893).

VAT number format: IL 123456789

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• Required. • It is recommended not to do e-invoicing in Israel without prior consultation with the Israeli tax administration.
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• Written consent is required

³ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed

- None mandated

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Outsourced issuance by a third party is not known or permitted as a concept, but exemptions may be provided by the tax authority
Whether statement of outsourced issuance is required on the invoice	• The mention "in the name and on behalf of the taxable person" must be present on the invoice
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• Prior consultation with the Israeli tax administration is recommended
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• Prior consultation with the Israeli tax administration is recommended
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• Prior authorization from the Israeli tax administration is required for outsourced einvoice issuance
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• Outsourcing to foreign service provider is not explicitly regulated; prior consultation with the Israeli tax administration is recommended

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Israel has no explicit requirements on the outsourcing of the function of receiving invoices but similar to the function to issue invoices as outlined above, prior consultation with the Israeli tax administration is recommended.



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2B/ B2G
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	No explicit requirements
Other document format(s) commonly used for exchange between trading parties	PDF
Mandated platform(s) required to have connection with for e-document processing	No explicit requirements
Other platform(s) relevant for e-document processing	No explicit requirements
Schematron(s), XSD schema or other official mechanisms ensuring document content	No explicit requirements
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party	No explicit requirements
identification and document exchange	No explicit requirements

Other technical aspects	No explicit requirements
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5.2. Communication with [HUB]

Regulations in Israel foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Israel is a post-audit country, there is no mandatory infrastructure to clear or validate e-invoices.

Communication options	Commentary
Automated	• N.a
Manual	• N.a
Other options	• N.a

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier's perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

No explicit requirements

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

No explicit requirements

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

No explicit requirements

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

No explicit requirements

5.5. AoR (response) process

A computerized notification of the receipt of document can be sent electronically but is not required.

It is however required for the supplier to obtain buyer's confirmation upon exchange of a credit note, as without such confirmation the supplier will not be entitled to any VAT deduction under the specific transaction. This requirement is described in detail in the rectification process section.

No explicit requirements

5.6. [HUB] validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

No explicit requirements

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

A human-readable copy of the elnvoice is required to be marked up with the wording "COPY" in the local formal languages (Arabic or Hebrew)

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Item	Commentary
Push communication	No explicit requirements
Pull communication	No explicit requirements
E-mail distribution	No explicit requirements
Webportal ⁴	No explicit requirements
Scanning inbound invoices	No explicit requirements
Scanning outbound invoicing	No explicit requirements

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note Invoice cancelation is allowed only if the original tax invoice is still in possession of the supplier (i.e. was not sent to the client).
What are the options to correct an invoice if the customer returns the goods	• Credit note
What are the options to correct an invoice if the customer paid too much	• Other • In this case the supplier needs to transfer the additional funds to the client and remain with the original tax invoice which reflects the accurate transaction.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Credit note • Corrective document (with a reference to the respective invoice)
Other scenarios with different correction option	• No
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report	• No

⁴ Note, however, that prior to using an external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

IT as due and deductible on the basis of this document
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5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	Not allowed
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	Allowed
Whether any conditions apply, and which, to the dematerialisation	No explicit requirements
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	Allowed
Whether any conditions apply, and which, to the materialisation	No explicit requirements

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available or allowed, to facilitate invoicing during the downtime.

Not applicable to Israel.



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Credit not/ invoice cancellation/ corrective invoice
Documents mandatory for issuance by buyer	• No

Item	Commentary
Self-billing allowed	• Yes
Simplified invoice allowed	No

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes
Allowed to start a new sequential numbering every year	• Yes

Worldwide numbering on legal entity level allowed provided that gaps can be explained	No, numbering required per registration
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	Yes

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

No explicit requirements.

6.3. Indirect tax (IT)⁵ rates

This section illustrates the applied IT⁶ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
17%	Standard	All other taxable goods and services.
0%	Zero	Exports of goods, sale of fresh fruit and vegetables, Supplies of intangibles to foreign residents, Supplies of services to foreign residents, Hotel accommodation for tourists, Leasing private cars to tourists, Tourist transportation, Supply of monitor services with regard to clinical trials conducted in Israel
	Exempt	Leasing of apartments for residence purposes for a period that does not exceed 25 years, Transactions made by a business that is below the registration threshold, Sales of diamonds and precious stones

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of [xxxx]. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	No, but recommended

⁵ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁶ Local name (מע"מ (מס ערך מוסף)

Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• Yes, Please note that the registration in the bookkeeping system (including internal documentation such as receipts, invoices and tax invoices) shall be in Hebrew or Arabic, unless a relief was given by the ITA.
Sequential numbering	• Yes
Required to mention copy or duplicate in case a copy is issued	• Yes
Reference in case of outsourced issuance	• No

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• Yes, provided the full legal name is mentioned as well
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• Yes provided that the legal address is mentioned as well and it is clearly mentioned
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, if a registration is available in the country of supply
IT identification number of the supplier in the country of establishment	• Yes
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Yes only if the address of the fiscal representative is used as the address of the supplier i.e. the supplier is operating from the offices of the supplier.
Legal form of the supplier	• Yes
Trade register number of the supplier	• Yes
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• Yes
Place of legal seat of the supplier (Headquarters)	• No, but recommended
Other supplier data	• The invoice should also mention the wording "authorized Dealer"

Customer data	
Full legal name of the customer	• Yes

Allowed to abbreviate or shorten the legal name of the customer	• Yes, provided the full legal name is mentioned as well
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• No
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• Yes provided that the legal address is mentioned as well and it is clearly mentioned
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• No
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• N.a
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• No
Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Only if it differs from the invoice date.
Date of prepayment	• No
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No
Shipped from location (for the supply of goods)	• No, but recommended • Especially in case of cross-border transactions
Shipped to location (for the supply of goods)	• No, but recommended • Especially in case of cross-border transactions
Status of the goods (e.g. in bond, in free circulation)	• No, but recommended • Especially in case of cross-border transactions

Incoterms	• No, but recommended • Especially in case of cross-border transactions
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• Yes
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• The total sum before VAT and after VAT.
Exchange rate (if the invoice is not issued in the local currency)	• Yes.
Which exchange rate must be applied in order of priority	• The applicable rate of the tax invoice issuance date: https://www.boi.org.il/he/Markets/ExchangeRates/Pages/Default.aspx
Terms of payment	• No, but recommended
IBAN and BIC number of supplier	• No, but recommended

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• Yes

List the required references in case of exemption or reverse charge	• There are no official guidelines in that respect. It is recommended to keep every reference to the applicability of issuing a self-tax invoice (the foreign invoice issued by the service provider) or the applicability of an exempt transaction.. • -if there is a reference to the reason for self-tax invoice issuance it is recommended to keep it attached to the self-tax invoice. -For example drop shipment of goods, it is advisable to attach the references that the place of supply is outside of Israel.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	• N.a
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• N.a
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• No
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No specific requirement other than a tax invoice must include all of the required details.
Specific references required in case invoicing is outsourced	• There is no specific wording.
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No
Other specific requirements/references to be mentioned on an invoice	• No

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	No
Maximum amount for simplified invoices	N.a
Other supplies for which a simplified invoice can be issued	N.a
Simplified invoices limited to certain type of supplies	N.a
Simplified invoices not allowed for certain transactions	N.a
Minimum content requirements on a simplified invoice	N.a
Invoices subject to the national invoice requirements (not self-bills)	N.a
(other) Invoices subject to the national invoice requirements (not self-bills)	N.a

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Israel a credit/ debit note must be issued as rectification documents. A credit/ debit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	Yes
Reference to original invoice required on a credit note	Invoice number
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	Yes
Reason for credit required	No, but recommended

Sequential numbering	
Separate sequential credit note numbering required	• Yes
Allowed to issue one credit note to correct different invoices	• Yes

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

No additional requirements.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuing I&A are provisioned for	• Any means Business Controls, EDI, e-signature • An electronic signature in compliance with the Israeli e-signature law is required to be attached to all electronic invoices, read more in section 10.3	• Any means Business Controls, EDI or e-signature Validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirements	• No explicit requirements

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• QES • AES • Advanced electronic seal
Automated e-signing	• No explicit requirements
Time-stamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Time-stamping of validation data	• No explicit requirements



8. Document retention

This section describes archiving requirements regarding the invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original invoice with signature including certificate or other evidence of integrity and authenticity as appropriate
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property⁷	• 7 years
Start point of retention period calculation for invoices not related to immovable property	• The issuance date of the document
Retention period for e- invoices related to immovable property	• 7 years
Start point of retention period calculation for invoices related to immovable property	• The issuance date of the document
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• 7 years

⁷ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• The issuance date of the document
Outsourced archiving	• Allowed with prior approval from the tax authority
Archiving abroad⁸ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	• Permitted everywhere only if approved by the ITA
Other requirements in relation to electronic document retention	• Invoices must be printable from the archive upon request

⁸ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.7 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No
Transportation documents	• No explicit requirements
Other	• No



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Public procurement

No explicit requirements.

10.2. Indirect tax reports

No explicit requirements.

10.3. Special requirements

As highlighted in several sections of this report, a trading party would have to contact the Israeli tax authorities when switching from paper to electronic invoicing to obtain their approval for such, [section 3.1](#).

Along with this, it is strongly recommended that the trading party at the same time covers with the tax authority two other aspects: outsourcing of eInvoicing responsibilities to a third party not established in Israel and application of eSignature and eSignature Validation by a third-party not certified in Israel.

Such formal approval is strongly recommended due to absence of mutual recognition agreements. However, given that the Israeli legislation in these matters (esp. in respect of eSignature) is to a large degree following the EU legislation, it should not be too challenging to obtain approval for usage of an EU-based service provider.

10.4. Using Trustweaver eSignature

According to section/regulation 18 B (a) of the Israeli Income Tax Regulation, eInvoices must be signed with a 'secure e-signature' or a 'certified e-signature' created in compliance with section 1 of the Israeli eSignature law.

The difference between the secure and certified e-signature is that the former does not need to be created with use of an electronic certificate generated by a Certification Authority (CA) operating in

compliance with the Israeli eSignature law. This means that it is not legally necessary to use one of the locally registered Cas, but that any PKI digital signature (AES) should be formally sufficient (Israeli or other) for signing of an electronic invoice.

So, from a legal and security analytical perspective, a qualified electronic seal from an ESG certificate should be sufficient to meet the requirements of 18 B (a) of the Israeli Income Tax Regulation, even if it does formally not meet the definition of a certified e-signature.

10.5. Outsourcing

The default Israeli approach seems to be to accept outsourcing in the sense that a service provider applies eSignature, but uses a certificate and key issued to the supplier, which is subsequently uploaded/stored on the service provider's system.

There are however legal arguments for the service provider signing with its own certificate. It could be argued that when a service provider is used to issue the invoice, it should be that service provider's signature that ought to be applied on the invoice.

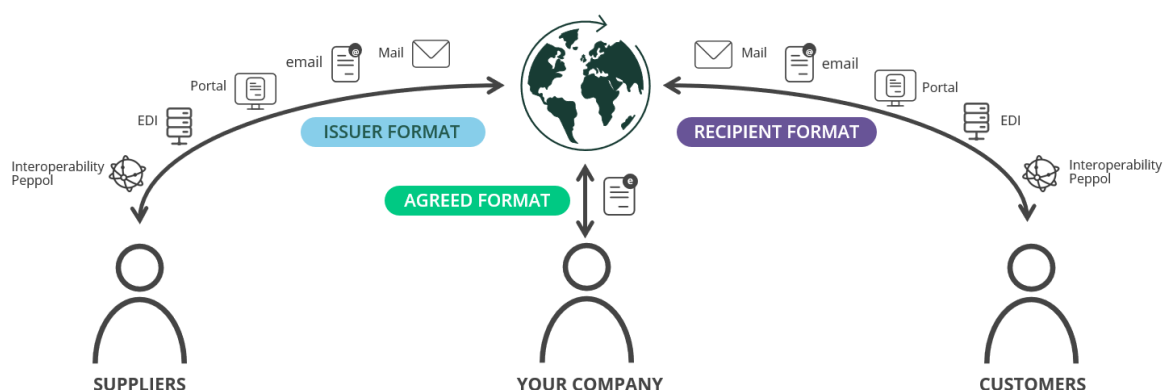
Informally, the Israeli authorities are positive towards the EU approach where a service provider, would sign the invoice and issue it on behalf of the taxpayer.

11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

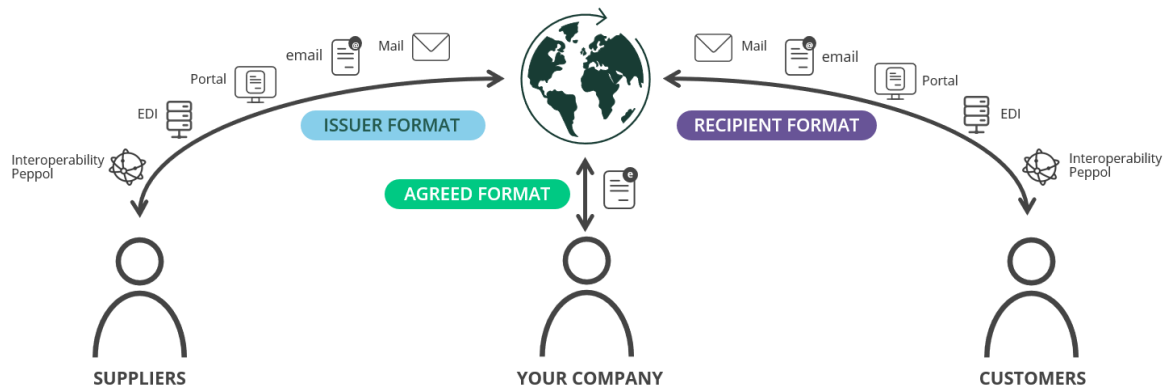
[if we use services of another provider or a partner, insert name and URL here]

11.1. Document issuance (AR) with Pagero



1. PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
2. PAGERO ensures the customer-specific document content, document integrity and authenticity, as well as archiving requirements
3. PAGERO supports unlimited number of document formats and multiple exchange mechanisms
4. PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, data capturing / scanning, etc.

11.2. Document reception (AP) with Pagero



1. PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
2. PAGERO ensures the customer-specific document content, document integrity and authenticity, as well as archiving requirements
3. PAGERO supports unlimited number of document formats and multiple exchange mechanisms
4. PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, data capturing / scanning, etc.



12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
17 July 2021	• Document created
14 June 2021	• Section 5: Removed charts to a step by step description
22 September	• Document periodic general update • Section 2: Amended the resources to the legislation • Section 4.1: Updated the section with the relevant referring to the public pages and guides. • Section 6.4: General update to the overall invoice content